CHESS.COM

Go-To-Market Strategy

Adaptive Puzzles with Spaced Repetition

Feature Launch Business Case

Prepared for: VP of Product & Executive Leadership

1. The Opportunity

8.7M Daily Active Users. 20M+ games per day. One massive untapped segment.

- **25% of the platform (800-1200 ELO)** is trapped at a skill plateau
- These 8.7M users play heavily but ratings remain flat
- They fail to convert because the Free Tier provides no upward mobility

The Business Case

KPI	Target
Year 1 Revenue	$4.1M
Year 1 ROI	**220%**
Payback Period	6-7 months
3-Year Cumulative Profit	**$17.8M**

2. Market Sizing

TAM → SAM → SOM

Level	Users	Definition
TAM	34.8M	All Chess.com Monthly Active Users
SAM	8.7M	800-1200 ELO segment (25% of MAU)
SOM	7.4M	SAM minus 1.3M existing paid users

Why 800-1200?

- **Largest absolute subscriber pool** — 1.3M paid, 7.4M free
- **Highest frustration-to-spend ratio** — stuck players actively seek solutions
- **Below 800:** Too casual to invest. **Above 1200:** Already converted (33% rate)

3. Competitive Landscape

Competitor	Offering	Key Weakness
Lichess	Free generic puzzles	No personalization; no spaced repetition
Chess.com Puzzle Rush	Speed-based arcade mode	Trains speed, not analytical recovery
ChessBase	Premium desktop analysis	$100+ price; desktop-only; targets GMs

Our Differentiation

> *The **only** solution that generates puzzles from the user's own blunders and applies the **Ebbinghaus Spaced Repetition** curve for long-term skill retention.*

Personalized. Scientific. Mobile-first.

4. Target Audience — The "Plateau Player"

Primary ICP: Active Amateurs (800-1200 ELO)

- **Who:** Adult improvers, age 25-45, predominantly mobile-first
- **Behavior:** 3+ games/day; rating flat over trailing 90 days
- **Pain Point:** "*I keep making the same mistakes but nothing helps me fix them*"
- **Conversion Trigger:** Seeing a puzzle from their *own game* creates an instant "aha" moment

Secondary Segments

Segment	Hook
Chess Parents	Weekly automated progress reports for their child
Lapsed Diamond Users	Win-back via personalized "why you plateaued" data

5. Messaging Framework

Core Positioning

> *"Stop memorizing grandmaster openings you'll never use. Let Stockfish analyze your actual mistakes and turn them into your personalized daily training plan."*

Per-Segment Messaging Pillars

Segment	Key Message	Emotional Hook
Plateau Players	"Break through your ceiling"	Frustration → Progress
Chess Parents	"See how your child improves"	Justification of spend
Lapsed Users	"We found why you plateaued"	Curiosity → Re-engagement

Terminology: Always use "Adaptive Puzzles with Spaced Repetition"

6. Pricing & Packaging

Entitlement Matrix

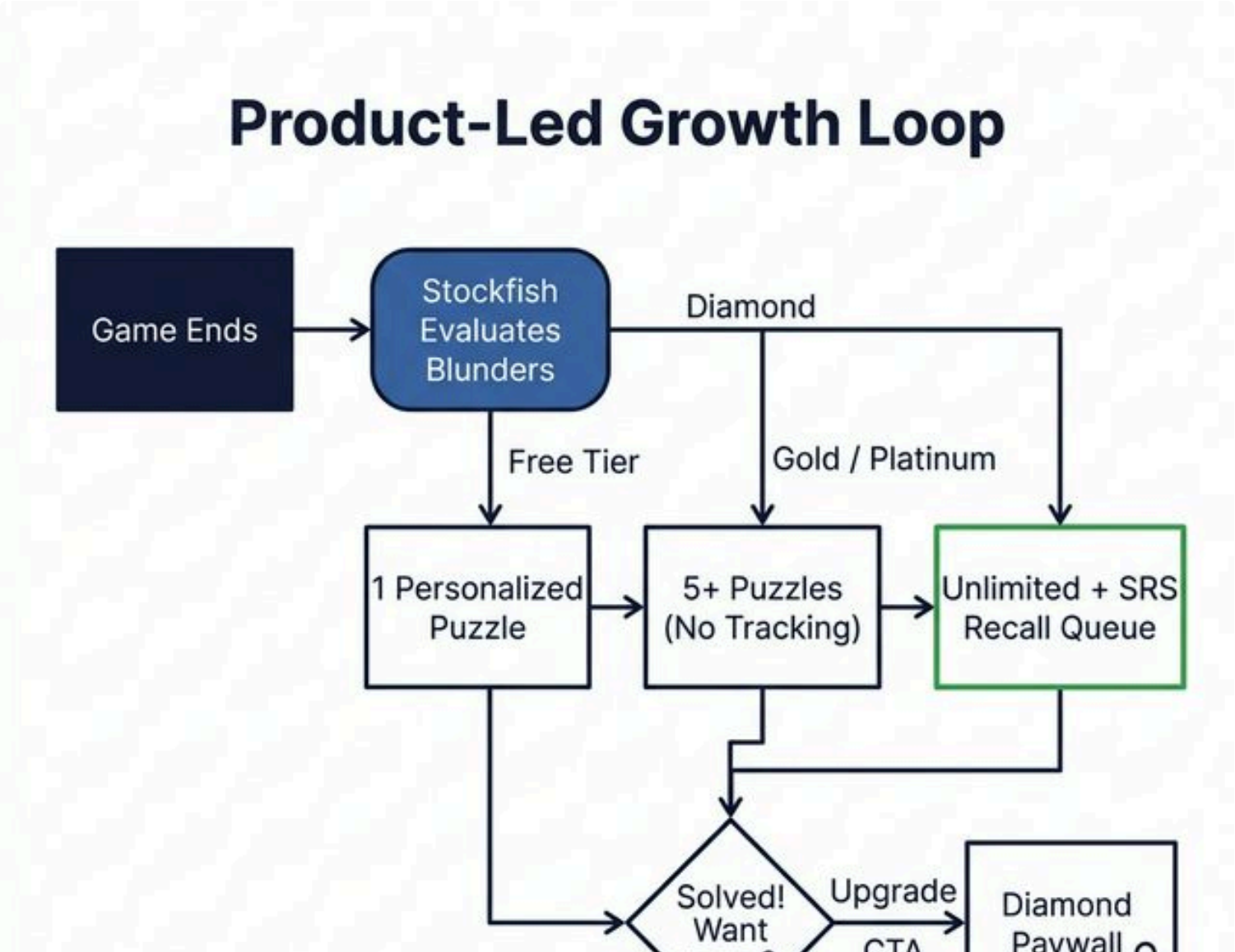
Tier	Price	Puzzles/Day	SRS	Strategic Role
Free	$0	1	✗	"Taste" → Create desire
Gold	$29/yr	5	✗	Volume → Habit formation
Platinum	$49/yr	Unlimited	✗	Remove limits → Commitment
Diamond	$119/yr	Unlimited	✓	Ultimate value → Retention

Freemium Logic

The Free Tier puzzle intentionally creates demand without satisfying it:

"*You have 14 other recurring weaknesses. Unlock Diamond to fix them permanently.*"

7. Product-Led Growth Loop



8. Distribution Channels

Tier 1: In-App (Primary — Product-Led)

- Post-game modal appears **automatically** after every match
- Progressive paywall: "*1 of 15 blunders identified*" + Diamond CTA
- SRS queue push notifications for Diamond users

Tier 2: Influencer Marketing ($200K/yr)

- **NOT** elite GMs (Hikaru, Magnus) — they don't need blunder correction
- **"Everyday Improver" streamers** at 1000-1500 ELO
- Content: Live "Aha Moment" streams solving their own blunders
- **Result:** Higher trust, lower CAC (<$10)

Tier 3: Lifecycle Marketing

- Win-back emails for churned Diamond subs with personalized data
- Streak mechanics + profile badges for SRS consistency

9. Phased Launch Plan

Phase	Timeline	Audience	Goal
Alpha	Week 1	Internal employees	Dogfooding; catch critical bugs
Closed Beta	Weeks 2-4	Top 5% Diamond (800-1200 ELO)	Validate conversion hypothesis
GA	Week 6	Global (50+ languages)	Full-scale launch

Pre-Launch Checklist

- ☐ Stockfish cluster scaled & load-tested
- ☐ EbbinghausDB deployed (99.95% SLA)
- ☐ Paywall A/B test variants configured
- ☐ Influencer content calendar finalized (30 days)
- ☐ CS playbooks & Zendesk macros deployed
- ☐ Telemetry events instrumented

10. Team Enablement

Customer Support (The Playbook)

When we gate this behind a $119 paywall, free users **will** complain. We prepare:

- **De-escalation scripts** with empathetic templates
- **Promo code authority:** Agents issue "DIAMOND10" for high-engagement Gold users
- **FAQ & Help Center** published 48 hours pre-GA

Customer Success (Retention Mechanics)

- **The Lock-In Effect:** Downgrading *pauses* (not deletes) SRS data + streaks
- **Progress Reports:** Weekly automated emails showing blunder categories corrected
- **Community:** Dedicated Discord channels for "Mastery Streaks"

11. Success Metrics

Conversion Funnel KPIs

Stage	KPI	Target
Awareness	Feature Impression Rate	>90% of post-game users
Engagement	Free Puzzle Solve Rate	>40% of impressions
Conversion	Free-to-Paid Upgrade	1% of DAU (blended)
Retention	Day-30 Diamond Retention	+15% vs. control
Revenue	Incremental ARR	$6.7M steady-state

Unit Economics

Metric	Target
Blended CAC	<$7.50
LTV	$48.50
LTV:CAC Ratio	**6.5x**
Per-User Payback	<50 days

12. Post-Launch Optimization

Review Cadence

Timeframe	Focus	Action
T+7 Days	Technical stability	p99 latency audit; error rates
T+30 Days	Conversion velocity	Free-to-Diamond funnel analysis
T+90 Days	Longitudinal impact	ELO improvement correlation

Contingency Playbook

Signal	Response
Low adoption (<5% solve)	Redesign modal placement; test notifications
High churn (>25% first-term)	Survey churned users; adjust Free Tier
Negative sentiment (>50 tickets/48h)	Activate de-escalation; pause marketing

13. Financial Summary

3-Year Projection (Cohort Compounding)

	Year 1	Year 2	Year 3
Revenue	$4.1M	$8.2M	$8.8M
Costs	$1.27M	$990K	$990K
Net Profit	$2.8M	**$7.2M**	**$7.8M**
Cumulative	$2.8M	$10.0M	**$17.8M**

Revenue Composition (Steady-State)

- **Subscriptions:** $4.05M/yr (65% Gold / 25% Plat / 10% Diamond)
- **Upsells:** $840K/yr (existing users → Diamond)
- **Ad Lift:** $1.84M/yr (extended Free Tier session time)

RECOMMENDATION: APPROVE

220% Year 1 ROI | 6.5x LTV:CAC | $17.8M 3-Year Profit

Payback in 6-7 months | Profitable under all scenarios

The feature pays for itself before Year 1 ends.

Even under pessimistic assumptions, the project breaks even.

CHESS.COM: GO-TO-MARKET STRATEGY

Feature Launch: Adaptive Puzzles with Spaced Repetition Prepared for: VP of Product & Executive Leadership **Target Launch:** Q3 2026

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1. Executive Summary

The Opportunity: Chess.com's 8.7M Daily Active Users generate 20M+ games daily, but deep telemetry reveals that 25% of the platform (the 800-1200 ELO segment) is trapped at a skill plateau. These 8.7M users play heavily but their ratings remain flat. They fail to convert to paid subscriptions because the Free Tier no longer provides upward mobility.

The Solution: Adaptive Puzzles with Spaced Repetition — a Stockfish-powered system that analyzes a user's actual blunders post-game and serves them as personalized training puzzles, gated across our 4-tier membership structure.

The Strategic Goal: Achieve a **1% conversion lift** across 8.7M DAU, generating **$6.7M in incremental annual revenue** with a projected **220% Year 1 ROI** and a 6-7 month payback period.

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2. Market Landscape & Competitive Positioning

2.1 Market Sizing (TAM → SAM → SOM)

Level	Population	Logic
TAM	34.8M MAU	All Chess.com monthly active users
SAM	8.7M users	800-1200 ELO segment (25% of MAU)
SOM	7.4M free users	SAM minus existing 1.3M paid users

2.2 Competitive Landscape

Competitor	Puzzle Feature	Weakness
Lichess	Free generic puzzles	No personalization; no spaced repetition
Chess.com Puzzle Rush	Speed-based arcade	Trains speed, not deep analytical recovery
ChessBase	Premium desktop tool	$100+ price; no mobile; targets GMs

Our Differentiation: The only solution that generates puzzles from the user's *own blunders* and applies the Ebbinghaus Spaced Repetition curve to ensure long-term skill retention. This is personalized, scientific, and mobile-first.

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3. Target Audience & Ideal Customer Profile

3.1 Primary Segment: "The Plateau Player" (800-1200 ELO)

- **Demographics:** Adult improvers (25-45), predominantly mobile-first
- **Behavior:** Plays 3+ games per day; rating flat over trailing 90 days
- **Pain Point:** "I keep making the same mistakes but nothing on the platform helps me fix them"
- **Conversion Trigger:** Seeing a personalized puzzle from their *own game* creates an immediate "aha" moment that generic puzzles cannot replicate

3.2 Secondary Segments

- **Chess Parents:** Non-players paying for a child's membership. They want tangible proof of educational progress (weekly automated reports)
- **Lapsed Diamond Subscribers:** Former premium users who churned due to plateau frustration. Win-back campaigns use personalized data as a re-engagement hook

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4. Value Proposition & Messaging Framework

4.1 Core Positioning Statement

> "Stop memorizing grandmaster openings you'll never use. Let Stockfish analyze your actual mistakes and turn them into your personalized daily training plan."

4.2 Messaging Pillars (By Segment)

Segment	Key Message	Emotional Hook
Plateau Players	"Break through your rating ceiling"	Frustration → Progress
Chess Parents	"See exactly how your child is improving"	Justification of spend
Lapsed Users	"We found why you plateaued. Come back."	Curiosity → Re-engagement

4.3 Terminology Standards

All internal and external communications must use: **"Adaptive Puzzles with Spaced Repetition"** — never "Mastery Engine," "Blunder Puzzles," or any other variant.

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5. Pricing & Packaging Strategy

5.1 Entitlement Matrix (Feature Gating)

Tier	Price	Puzzles / Day	SRS Tracking	Strategic Role
Free	$0	1 Puzzle	No	"Taste" → Create desire
Gold	$29/yr	5 Puzzles	No	Volume increase → Habit formation
Platinum	$49/yr	Unlimited	No	Remove limits → Build commitment
Diamond	$119/yr	Unlimited	**Full SRS**	Ultimate value → Long-term retention

5.2 Product-Led Growth Loop

5.3 Freemium Logic

The Free Tier puzzle intentionally creates demand without satisfying it. By showing the user *one* blunder from their game, we prove the value proposition. The paywall message reads: "You have 14 other recurring weaknesses. Unlock Diamond to fix them permanently."

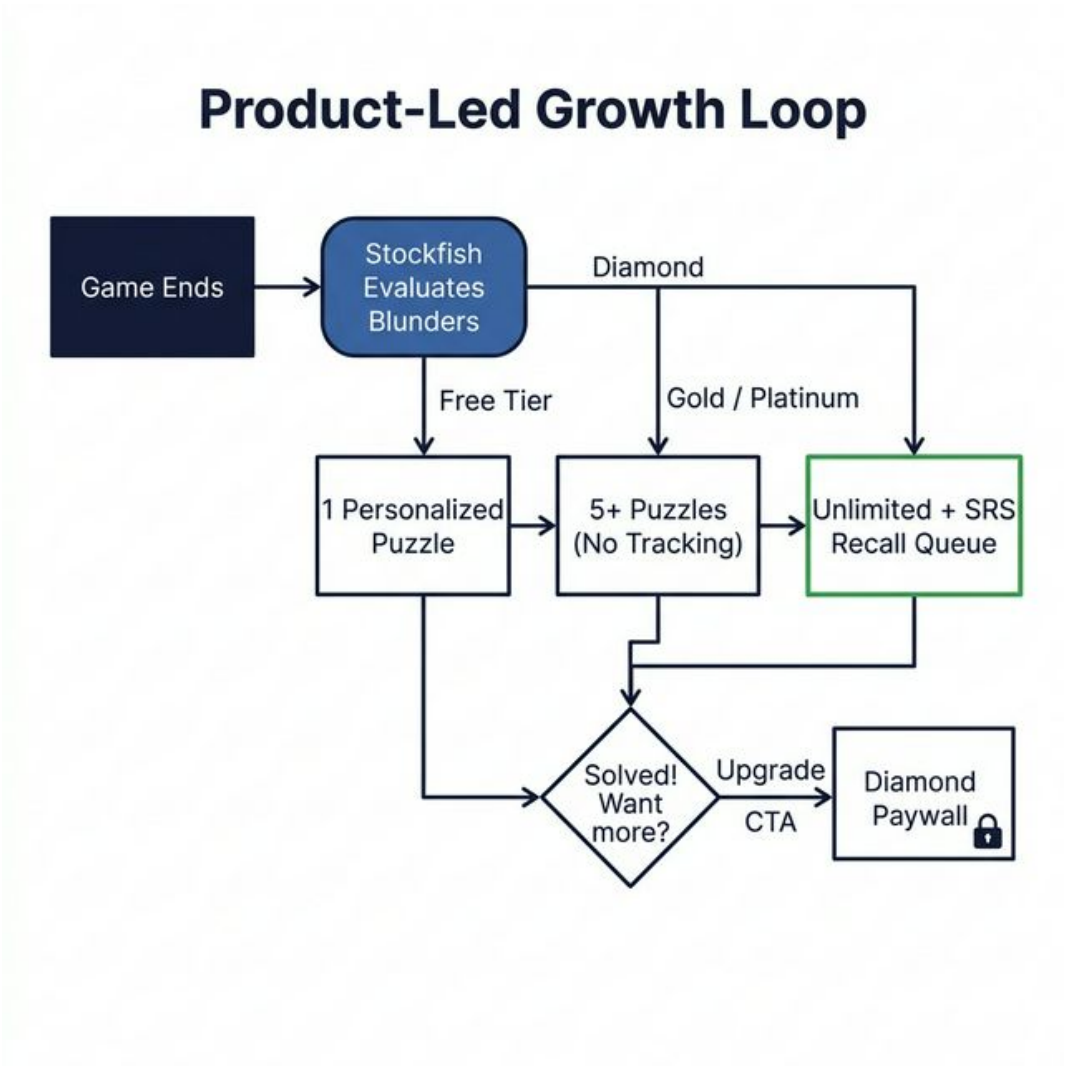

Figure 1: Product-Led Growth Loop

6. Distribution & Channel Strategy

6.1 In-App (Primary Channel — Product-Led)

- **Post-Game Modal:** The Adaptive Puzzle appears automatically after every Blitz/Rapid match. No opt-in required — it's embedded in the core game flow
- **Progressive Paywall:** Free users see their puzzle count ("1 of 15 blunders identified") with a Diamond upgrade CTA
- **SRS Queue Notifications:** Diamond users receive daily app notifications when a spaced repetition review is due

6.2 Influencer Marketing (Secondary Channel — Demand Gen)

The KOL Pivot: We deliberately avoid elite Grandmaster partnerships (Hikaru, Magnus). These players do not need "blunder correction" — using them undermines credibility.

Instead, we invest in **"Everyday Improver" Creators:**

- **Profile:** Streamers and content creators hovering around 1000-1500 ELO who specialize in instructional content for amateur audiences
- **Content Format:** Live "Aha Moment" streams where the creator solves their own blunder puzzles on camera. These micro-influencers command higher trust and lower CAC (<$10) than Tier-1 celebrities
- **Budget Allocation:** $200K/year (from Financial Model cost structure)

6.3 Lifecycle Marketing (Tertiary Channel — Retention)

- **Win-Back Campaigns:** Targeted PUSH/Email for churned Diamond subscribers. Messaging includes a personalized "Evidence of Progress" preview from their last played game
- **Streak Mechanics:** Users who complete 7+ consecutive days of SRS reviews earn profile badges. If a user downgrades from Diamond, the streak and blunder history are paused (not deleted), creating psychological re-subscription pressure
- **Community Engagement:** Dedicated forum threads and Discord channels for "Mastery Streaks"

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7. Phased Launch Plan

7.1 Rollout Schedule

Phase	Timeline	Audience	Goal
Alpha	Week 1	Internal Chess.com employees	Dogfooding; catch critical bugs
Closed Beta	Weeks 2-4	Top 5% Diamond users (800-1200 ELO)	Validate conversion hypothesis
General Availability	Week 6	Global rollout (top 10 languages)	Full-scale launch

7.2 Pre-Launch Readiness Checklist

- ☐ Stockfish evaluation cluster scaled and load-tested
- ☐ EbbinghausDB schema deployed with 99.95% SLA
- ☐ Paywall modal A/B test variants configured
- ☐ Influencer content calendar finalized (first 30 days)
- ☐ Customer Support playbooks and Zendesk macros deployed
- ☐ Localization complete for 50+ languages
- ☐ Telemetry events instrumented (see Section 9)

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8. Team Enablement & Operational Readiness

8.1 Customer Support Enablement (The Playbook)

When we gate this feature behind a $119 Diamond paywall, free users *will* complain. We must prepare:

- **De-escalation Scripts:** Pre-drafted response templates for Zendesk agents. Free users requesting access receive empathetic acknowledgment + a 10% first-month discount code
- **Promo Code Authority:** Agents are authorized to issue "DIAMOND10" codes for high-LTV Gold users showing strong engagement signals
- **FAQ & Help Center:** Articles, GIF tutorials, and in-app tooltips explaining how the Adaptive Puzzle system works

8.2 Community Enablement

- Help Center articles published 48 hours before GA
- In-app tooltip walkthrough for first-time users
- Dedicated subreddit/Discord thread for feedback collection

8.3 Customer Success (Retention Mechanics)

- **The Lock-In Effect:** If a Diamond user downgrades, their SRS dashboard and streak data are *paused* (visible but frozen). This creates powerful re-subscription pressure
- **Progress Reports:** Weekly automated emails to Diamond users (and Chess Parents) showing blunder categories corrected and ELO trajectory

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9. Success Metrics & KPI Framework

9.1 Funnel Metrics (Leading → Lagging)

Funnel Stage	KPI	Target	Measurement
Awareness	Feature Impression Rate	>90% of post-game users	`adaptive_puzzle_view` event
Engagement	Free Puzzle Solve Rate	>40% of impressions	`puzzle_solve_success` event
Conversion	Free-to-Paid Upgrade Rate	1% of DAU (blended)	`conversion_checkout` event
Retention	Day-30 Diamond Retention	+15% vs. control	`srs_retention_milestone` event
Revenue	Incremental ARR	$6.7M steady-state	Billing Service attribution

9.2 Unit Economics Targets

Metric	Target	Benchmark
Blended CAC	<$7.50	Low due to 85%+ organic in-app acquisition
LTV (New Subscriber)	$48.50	Based on $4.85 ARPU × 10-month effective lifespan
LTV:CAC Ratio	>6.5x	Healthy: >3x is industry standard
Per-User Payback	<50 days	CAC recovered within first 2 billing cycles

9.3 Telemetry Events (Instrumented via Analytics Pipeline)

Event	Trigger	Strategic Purpose
`blunder_id_success`	>300 centipawn blunder identified	Verify puzzle generation rate
`adaptive_puzzle_view`	User opens puzzle modal	Measure feature discovery
`conversion_funnel_start`	User clicks upgrade CTA	Track high-intent interest
`conversion_checkout`	Payment successful	Attribute revenue to feature
`engagement_surface_lift`	User exits puzzle experience	Quantify ad-revenue lift
`srs_retention_milestone`	Diamond user completes Day 7/28 check	Validate retention hypothesis

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10. Post-Launch Optimization Cadence

10.1 Review Rhythm

Timeframe	Focus	Action
T+7 Days	Technical stability	p99 latency audit; Stockfish error rates
T+30 Days	Conversion velocity	Initial Free-to-Diamond funnel analysis
T+90 Days	Longitudinal impact	ELO improvement correlation; Diamond retention rates

10.2 Contingency Playbook

Signal	Trigger	Response
Low adoption (<5% solve rate)	Users not engaging with post-game modal	Redesign modal placement; test notification triggers
High churn (>25% first-term)	Users canceling after first billing	Survey churned users; adjust Free Tier generosity
Negative sentiment	>50 support tickets in 48 hours	Activate de-escalation playbook; pause marketing

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11. Financial Linkage

11.1 Revenue Impact Summary

Metric	Year 1	Year 2	Year 3
Total Revenue	$4.1M	$8.2M	$8.8M
Total Costs	$1.27M	$990K	$990K
Net Profit	$2.8M	$7.2M	$7.8M
Cumulative Profit	$2.8M	$10.0M	**$17.8M**

11.2 Revenue Composition (Steady-State)

- **Subscription Revenue:** $4.05M/yr (65% Gold / 25% Plat / 10% Diamond mix)
- **Upsell Revenue:** $840K/yr (existing Gold/Plat users upgrading to Diamond)
- **Ad-Revenue Lift:** $1.84M/yr (extended Free Tier session time)

Refer to the Financial KPI Model for complete assumptions, sensitivity analysis, and cohort projections.